

CONSULTATION PAPER NO.150



PROPOSALS IN RELATION TO MONEY SERVICES, CRYPTO TOKENS AND CROWDFUNDING

27 APRIL 2023

PREFACE

Why are we issuing this paper?

1. This Consultation Paper (CP) seeks public comment on the DFSA's proposals to make several amendments to the DFSA's policy framework, as expressed through its Rules. Each item is a discrete item.

Who should read this paper?

2. The proposals in this paper will be of interest to Authorised Persons, to applicants, to their advisers, and other industry participants.

Terminology

3. Defined terms are identified by the capitalisation of the initial letter of a word or of each word in a phrase and are defined in the Glossary Module ([GLO](#)). Unless the context otherwise requires, where capitalisation of the initial letter is not used, the expression has its natural meaning.

What are the next steps?

4. Please send any comments using the [online response form](#). You will need to identify the organisation you represent in providing your comments. The DFSA reserves the right to publish, including on its website, any comments you provide, unless you expressly request otherwise at the time of making comments. The deadline for providing comments is **26 May 2023**.
5. Following public consultation, we will proceed to make the relevant changes to the DFSA Rulebook. You should not act on the proposals until the relevant changes to the laws and DFSA Rulebook are made. We shall issue a notice on our website telling you when this happens.

Structure of this CP

- Part 1: proposals in relation to the Money Services regime that will result in changes to the DFSA Rulebook;
- Part 2: proposals in relation to the Crypto Token regime that will result in changes to the DFSA Rulebook; and
- Part 3: proposals in relation to regulatory reporting by firms licensed to Operate a Crowdfunding Platform;
- Appendix 1: draft amendments to the GEN (General) Module of the DFSA Rulebook;
- Appendix 2: draft amendments to the COB (Conduct of Business) Module;
- Appendix 3: draft amendments to the AMI (Authorised Market Institution) Module;
- Appendix 4: draft amendments to the PIB (Prudential – Investment, Insurance Intermediation and Banking) Module;
- Appendix 5: draft amendments to the PRU (Prudential Returns) Module of the DFSA Sourcebook;
- Appendix 6: draft amendments to the PRU (Prudential Returns) Module of the DFSA Sourcebook; and
- Annex 1: Questions asked in this Consultation Paper.

Part I: Proposals in relation to the Money Services regime

Introduction

6. In 2020, the DFSA introduced a Money Services regime and, since then, we have been asked to clarify some of the requirements we put in place, which we are proposing to do. Furthermore, with the benefit of both licensing and supervising Money Services firms, we have also identified additional areas that we believe would benefit from further clarification.
7. We would qualify the comments above by noting that the proposed changes have not come from an exhaustive review of the regime, as we feel it is too early to undertake such a review. Rather, we plan to carry out a broader review of the regime starting in 2024.

Providing or operating a Payment Account

8. When creating the Money Services regime, it was intended that Stored Value would be for Retail Clients who are natural persons. This was also reflected in, for example, the additional Retail Client protections put in place surrounding issue and redemption of Stored Value, and in respect of the higher levels of capital a firm issuing Stored Value must hold. Of course, corporate clients could also be issued Stored Value (whether Retail or Professional Clients), if the limits on the amounts that could be held, and transacted on, did not impact their business model.
9. Conversely, the activity of providing or operating a Payment Account was intended for corporate clients only (Retail or Professional Clients), meaning natural persons were unable to obtain this type of account. This is due to the short-term nature of its construct, making it a collection type account where a merchant, for example, would collect money in the payment account (e.g., GBP from the UK) from customers before sending it to the merchant's bank account later. Fewer retail protections were put in place, and lower capital requirements, making this type of account unsuitable for natural Retail Clients.
10. There has been some confusion about these Financial Services activities, and what type of services a client can access. We are proposing to clarify who can access a Payment Account based on the intentions discussed above.

Please see draft COB 13.7 in Appendix 2.

Question 1:

Do you agree with our proposal to clarify to whom a Payment Account can be provided? If not, why not?

Executing Payment Transactions on a Payment Account provided or operated by another Person

11. We have been asked to provide examples of what type of activities are included in executing Payment Transactions on a Payment Account provided or operated by another Person. Put simply, this activity is where an Authorised Firm pulls a payment from a User's third-party account (for example, via a Debit Card) to initiate a transaction. This can also include recurring transactions such as direct debits and standing orders. We propose to add these examples as guidance to GEN 2.6.

Please see draft guidance 10 to GEN 2.6.1 in Appendix 1.

Question 2:

Do you agree with our proposal to include further guidance explaining the Financial Service of executing Payment Transactions on a Payment Account provided or operated by another? If not, why not?

Payment Instruments

Definition of a Payment Instrument

12. GEN 2.6.1(2) defines a Payment Instrument as a (i) personalised device, or (ii) a set of procedures agreed between the User and the provider, which is used by the User to initiate a Payment Order. We have had requests to provide examples of a device and/or set of procedures.
13. Generally, it is understood that a personalised device is a payment card, such as a credit, debit or pre-paid card, while the set of procedures refers to a mobile application or telephone banking through which a Payment Order can be initiated. We propose to add this explanation to guidance in GEN 2.6.

Issuing Payment Instruments – ancillary to other activities

14. The Financial Service of “*issuing Payment Instruments*” was always intended to be ancillary to other Payment Services. This intention appears not to have been obvious, so we propose to clarify this matter.

Please see draft amendment to GEN 2.2.10G and accompanying guidance and draft guidance 11 in GEN 2.6 in Appendix 1.

Question 3:

Do you agree with our proposals to a) give examples of a Payment Instrument and b) clarify that the issuing of Payment Instruments is ancillary to other Money Services activities? If not, why not?

Cash out

15. Under COB 13.2.2, we have not allowed Money Services providers to permit their Users to deposit, or withdraw, physical cash. This is due to concerns of AML/CFT risks associated with physical cash, primarily at the cash in stage.
16. Despite this prohibition, we have had some applicants (only those wanting to provide Stored Value services) targeting the unbanked sector (typically to labourers and domestic workers), who have raised the issue of their customers being able to take cash out in the UAE.
17. Since the regime came into force in 2020, we have reflected on the position taken and concluded that the risk of cash out risk is significantly lower where a Money Service Provider, who has received the money electronically, pays that money out in cash. On this basis, we propose to permit a Money Service provider to allow cash out provided the cash is withdrawn in the UAE, and via a Stored Value account. We do not, at this

stage, see a need (due to the transactional nature of the account) for those operating or providing a Payment Account to allow for cash out.

Please see draft COB 13.2.2 in Appendix 2.

Question 4:

Do you agree with our proposals to allow cash out from a Stored Value account in the UAE, but outside the DIFC? If not, why not?

Reconciliation

18. As part of our Client Money requirements, we require an Authorised Firm to ensure that accurate reconciliations of Client Accounts are carried out at least every 25 days. COB App 5.11.1 sets out the details of what the reconciliation must include. We do not, however, think that reconciliations every 25 days, specifically for Money Services firms that hold Client Money, are sufficient. Rather, we believe that reconciliations should be more regularly carried out due to the transactional nature of the services offered.
19. To consider how we might amend this obligation, we looked to requirements in the UK where the UK's Financial Conduct Authority (FCA) requires reconciliations to be carried out as often as necessary, and at least once a day. We also looked to Australia, where the Australian Securities and Investments Commission (ASIC) requires reconciliation of client money to be performed daily.
20. On this basis, we propose to amend COB App 5.11.1 for all Money Service Providers holding Client Money and require reconciliation of Client Accounts to be carried out at least daily to confirm the accuracy of the firm's records and accounts. We intend, later this year, to look at the frequency of reconciliation in relation to other Authorised Firms.

Please see draft COB App 5.11.1(1) in Appendix 2.

Question 5:

Do you agree with our proposals to amend the reconciliation requirements for Money Service providers holding Client Money? If not, why not?

Part II: Proposals in relation to the Crypto Token regime

Clarification

21. In AMI 5B.6.1 we require, in respect of technology audit reports, an Authorised Market Institution (AMI) to ensure that it meets the requirements that would apply to an Authorised Firm Operating a Facility for Investment Tokens under COB section 14.5. However, this wording is incorrect. Rather, it should state that an AMI must ensure that it meets the requirements that would apply to an Authorised Firm that uses DLT or similar technology to Operate a MFT that trades Crypto Tokens under COB section 15.8, and we propose to make this clarification to AMI 5B.6.1. To note, the substantive requirements in COB 14.5 and 15.8 relating to the audit are the same; it is just the application that is different, to Investment Tokens and Crypto Tokens, respectively.

Please see draft AMI 5B.6 in Appendix 3.

Question 6:

Do you agree with our proposal to clarify AMI 5B.6.1? If not, why not?

Recognised Crypto Tokens

22. GEN 3A.3.4 sets out the DFSA's approach to the recognition of Crypto Tokens, whereby Financial Services and Activities in the DIFC can be carried on only in relation to Crypto Tokens which are Recognised.
23. We have been asked whether "wrapper tokens", which are Crypto Tokens that have been wrapped to be used on another blockchain, would have to be recognised. The answer is yes; we regard wrapper or wrapped tokens to be new Crypto Tokens and so they would need to be recognised to be used in the DIFC. To make this position abundantly clear, we propose to add further guidance to GEN 3A.3.4 setting out our position.

Please see draft guidance 4 to GEN 3A.3.4 in Appendix 1.

Question 7:

Do you agree with our proposal to clarify that wrapper or wrapped tokens need to be recognised to be used in the DIFC? If not, why not?

Restrictions relating to referrals of clients to non-DIFC firms

24. We have seen examples of Authorised Firms referring clients to non-DIFC Crypto providers (typically in the same group), which runs a risk that clients are referred to providers in jurisdictions that do not offer equivalent protections, when compared to the protections (specifically the retail protections) offered under the DFSA's Crypto Token regime. While GEN 3A.2.1(1)(b) restricts Authorised Firms from making a Financial Promotion in relation to a Crypto Token unless it is a Recognised Crypto Token, we do not think this restriction goes far enough to addressing our concerns on this issue.
25. While there are a variety of regulatory approaches that we could adopt to address the concerns we have, we believe the most appropriate approach is to limit the referral of clients to non-DIFC businesses that offer access to Crypto products and services to firms that are subject to substantially equivalent requirements as found in the DFSA Crypto Token regime. An obligation would be placed on the DFSA Authorised Firm to satisfy itself that the firm in another jurisdiction is subject to equivalent requirements as under the DFSA regime. The entity in question will need to keep records of how it has made such an assessment and must make those records available to the DFSA on request.
26. We are, however, open to alternative views of how we might be able to achieve the same outcome and would invite feedback.

Please see draft GEN 3A.2.6 in Appendix 2.

Question 8:

Do you agree with the proposal on referral of clients in paragraph 26? If not, why not?

Part III: Proposals in relation to regulatory reporting by Crowdfunding Platforms

27. The DFSA's crowdfunding regime has been in place since 2017, when we introduced requirements for loan and investment crowdfunding. We extended the regime in 2019, when we introduced requirements for property crowdfunding. Since then, we have been collecting regulatory information from crowdfunding platforms, which not only relates to the financial, capital and liquidity positions of these firms, but also covers activity-level data to support our supervisory knowledge of crowdfunding business models and associated risks. Activity-level data has been collected, so far, through a supervisory mechanism, but without a specific requirement in our Rulebook for reporting of such data.
28. When it comes to the activity-level data collection, we have been using electronic reporting templates outside of our Electronic Prudential Reporting System (EPRS). That is because our intention has been to test out these reporting forms over time and only then integrate them into the EPRS environment. With proposed modifications to the contents of these forms (*note*: the format of the forms has been significantly streamlined), we believe it is the right time to incorporate these forms into EPRS, while creating a specific rule around the reporting of activity-level data, with an intended date for these requirements to come into force on 1 October 2023. This would mean that the first reports to be submitted in this way would cover the period from 1 October to 31 December 2023 and would have a submission deadline of the end of January 2024.
29. Regarding the timing of implementation, we would like to clarify that firms should continue submitting their existing returns through the DFSA electronic portal for the time being. Firms should change their reporting methods only once advised by the DFSA to do so.
30. We draw firms' attention to the proposed templates and instructional guidelines, as laid out in Appendices 4 and 5 of this CP. Firms should familiarise themselves with the forms ahead of implementation.

Please see draft PIB A2.4 Table 1 in Appendix 4 and Form B470 (Crowdfunding Intermediation) with instructional guidelines in Appendix 5.

Question 9:

Do you agree that activity-level regulatory returns for crowdfunding platforms are updated and made mandatory? If not, why not?

Annex I: Questions in this Consultation Paper**Question 1:**

Do you agree with our proposal to clarify to whom a Payment Account can be provided? If not, why not?

Question 2:

Do you agree with our proposal to include further guidance explaining the Financial Service of executing Payment Transactions on a Payment Account provided or operated by another? If not, why not?

Question 3:

Do you agree with our proposals to a) give examples of a Payment Instrument and b) clarify that the issuing of Payment Instruments is ancillary to other Money Services activities? If not, why not?

Question 4:

Do you agree with our proposals to allow cash out from a Stored Value account in the UAE, but outside the DIFC? If not, why not?

Question 5:

Do you agree with our proposals to amend the reconciliation requirements for Money Service providers holding Client Money? If not, why not?

Question 6:

Do you agree with our proposal to clarify AMI 5B.6.1? If not, why not?

Question 7:

Do you agree with our proposal to clarify that wrapper or wrapped tokens need to be recognised to be used in the DIFC? If not, why not?

Question 8:

Do you agree with the proposal on referral of clients in paragraph 28? If not, why not?

Question 9:

Do you agree that activity-level regulatory returns for crowdfunding platforms are updated and made mandatory? If not, why not?